

# ROYAL LONDON UK CORE EQUITY TILT FUND

31.01.24

## FUND OVERVIEW

|                                  |                                    |
|----------------------------------|------------------------------------|
| Fund Manager(s)                  | Nils Gene Jungbacke,<br>Mike Sprot |
| Fund Size                        | £6,208.63m                         |
| Domicile                         | United Kingdom                     |
| ISA                              | Eligible                           |
| Benchmark Index                  | FTSE 350                           |
| Investment Association<br>Sector | IA UK All Companies                |
| Currency                         | GBP                                |
| Initial Charge                   | 0.0%                               |
| Fund Management Fee<br>(FMF):    | Z Acc: 0.10%<br>Z Inc: 0.10%       |

### Share Class Z (Accumulation)

|                         |            |
|-------------------------|------------|
| Unit Launch Date        | 20.07.07   |
| Minimum Investment      | £3,000,000 |
| SEDOL                   | B523MH2    |
| Mid Price               | 220.70p    |
| Annualised Income Yield | 3.97%      |

### Share Class Z (Income)

|                         |            |
|-------------------------|------------|
| Unit Launch Date        | 06.11.08   |
| Minimum Investment      | £3,000,000 |
| SEDOL                   | B523R00    |
| Mid Price               | 131.00p    |
| Annualised Income Yield | 4.59%      |

## Overview

The Fund's investment objective is to deliver capital growth and income over the medium term (3-5 years), by primarily investing in shares of the 350 largest companies by market capitalisation listed on the London Stock Exchange, and incorporating responsible investment and environmental, social & governance insights into the investment process. The Fund's performance target is to deliver the performance, after the deduction of charges, of the FTSE 350 Total Return GBP Index over rolling 3-year periods. The Fund will seek to achieve carbon intensity of at least 10% lower than that of the Index whilst also considering a company's ability and willingness to transition and contribute to a lower carbon economy. The Index is considered an appropriate benchmark for the Fund's performance, as the Fund's investments will predominantly be included in the Index. In addition to the benchmark for the Fund's performance as noted above (the Index), to the Index, the IA UK All Companies sector is considered an appropriate benchmark for performance comparison.

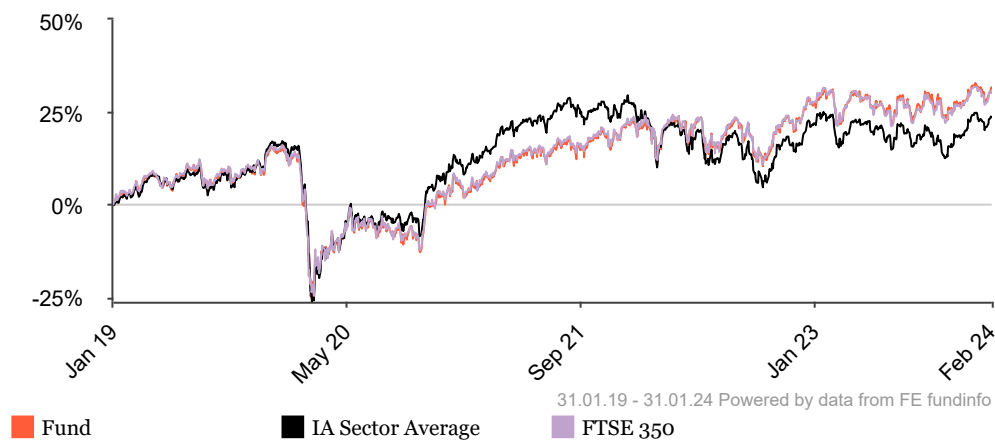
## Year-on-year performance

|                              | 31.12.22 to<br>31.12.23 | 31.12.21 to<br>31.12.22 | 31.12.20 to<br>31.12.21 | 31.12.19 to<br>31.12.20 | 31.12.18 to<br>31.12.19 |
|------------------------------|-------------------------|-------------------------|-------------------------|-------------------------|-------------------------|
| Share Class Z (Accumulation) | 9.0%                    | 1.0%                    | 18.1%                   | -10.7%                  | 19.7%                   |
| Share Class Z (Income)       | 9.5%                    | 0.9%                    | 18.1%                   | -10.7%                  | 19.7%                   |

## Cumulative Performance (as at 31.01.24)

|                              | 3 Months | 6 Months | 1 Year | 3 Years | 5 Years |
|------------------------------|----------|----------|--------|---------|---------|
| Share Class Z (Accumulation) | 6.4%     | 1.6%     | 4.4%   | 29.4%   | 31.7%   |
| Share Class Z (Income)       | 6.4%     | 1.6%     | 4.9%   | 29.9%   | 32.2%   |
| Sector Average               | 9.1%     | 1.9%     | 1.9%   | 14.5%   | 23.7%   |
| FTSE 350                     | 6.1%     | 1.1%     | 1.9%   | 28.0%   | 30.2%   |
| Quartile Ranking             | 3        | 3        | 1      | 1       | 1       |

## Performance Chart



**Past performance is not a guide to future performance. The value of investments and the income from them is not guaranteed and may go down as well as up and investors may not get back the amount originally invested.**

Source: RLAM and FE fundinfo as at 31.01.24. Fund performance is shown on a mid to mid price basis, net of fees and gross of taxes, with gross income reinvested unless otherwise stated. Benchmark performance is shown gross of fees and taxes.

## Distribution History (Net)

|                        | 31/10/2023 | 28/04/2023 |
|------------------------|------------|------------|
| Share Class Z (Income) | 4.6357p    | 1.3541p    |

Table above shows figures as at payment date.



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**Fund Manager(s)****Nils Gene Jungbacke**

Co-manager  
Fund Manager tenure:  
04.01.18

**Mike Sprot**

Co-manager  
Fund Manager tenure:  
04.01.18

**Yield Definitions**

The Annualised Income Yield reflects the amounts that may be expected to be distributed over the next twelve months as a percentage of the mid-market share price of the fund as at the date shown. It is based on a snapshot of the portfolio on that day. It does not include any preliminary charge and investors may be subject to tax on distributions.

**Important Information**

This is a financial promotion and is not investment advice.

The Fund is a sub-fund of Royal London Equity Funds ICVC, an open-ended investment company with variable capital with segregated liability between sub-funds, incorporated in England and Wales under registered number IC000807. The Authorised Corporate Director (ACD) is Royal London Unit Trust Managers Limited, authorised and regulated by the Financial Conduct Authority, with firm reference number 144037. For more information on the fund or the risks of investing, please refer to the Prospectus or Key Investor Information Document (KIID), available via the relevant Fund Information page on [www.rlam.com](http://www.rlam.com).

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Source: RLAM, FE fundinfo and HSBC as at 31.01.24, unless otherwise stated. Yield definitions are shown above.

Our ref: FS RLAM PD 0118

Breakdowns exclude cash and futures.

**Sector Breakdown**

|                        | Fund  |
|------------------------|-------|
| Financials             | 22.9% |
| Consumer Staples       | 14.6% |
| Consumer Discretionary | 12.7% |
| Industrials            | 11.8% |
| Health Care            | 11.6% |
| Energy                 | 10.7% |
| Basic Materials        | 7.0%  |
| Utilities              | 3.5%  |
| Real Estate            | 2.6%  |
| Technology             | 1.4%  |
| Telecommunications     | 1.2%  |

**Top 10 Holdings as at 31.01.24**

|                          | Fund         |
|--------------------------|--------------|
| SHELL PLC                | 7.1%         |
| ASTRAZENECA PLC          | 7.0%         |
| HSBC HOLDINGS PLC        | 5.4%         |
| UNILEVER PLC             | 4.4%         |
| BP PLC                   | 3.5%         |
| DIAGEO PLC               | 2.9%         |
| Glaxosmithkline          | 2.8%         |
| RELX PLC                 | 2.8%         |
| RIO TINTO PLC            | 2.5%         |
| BRITISH AMERICAN TOBACCO | 2.3%         |
| <b>Total</b>             | <b>40.7%</b> |
| <b>No of Holdings</b>    | <b>347</b>   |

Every effort is made to ensure the accuracy of any information provided but no assurances or warranties are given. Nothing in this factsheet should be construed as advice and is therefore not a recommendation to buy or sell shares.

## ESG Terms and Definitions

**ESG Integration:** The systematic and explicit inclusion of environmental, social and governance (ESG) factors into investment analysis and investment decisions.

**Sustainable Fund Objective:** A product that has sustainable investment or a reduction in carbon emissions as its objective.

**Exclusions:** Explicitly prohibits investing in a particular company, sector, business activity, country or region.

## ESG Metrics Explanation

**Carbon Footprint:** Exposure to high emitters in the portfolio, expressed in tCO<sub>2</sub>e/\$M invested. Financed emissions (explained above) are divided by the portfolio value, the same approach for listed companies and private issuers is applied in this metric.

**Financed Emissions:** The emissions from activities in the real economy that are financed through lending and investment portfolios, expressed in tCO<sub>2</sub>e. Emissions are attributed to a portfolio based on the portion of the company's value the portfolio holds, and using different accounting values for public and private corporates. We provide financed emissions for scope 1 and 2 emissions.

## Weighted Average Carbon Intensity:

Portfolio's exposure to carbon-intensive companies, expressed in tCO<sub>2</sub>e / \$M revenue. Scope 1 and scope 2 GHG emissions are divided by companies revenues, then multiplied based on portfolio weights (the current value of the investment relative to the current portfolio value). The WACI is calculated as a weighted average sum of the holdings with carbon intensity coverage.

## ESG Characteristics Rationale

The Fund considers environmental, social, governance ("ESG") standards of the companies it invests in alongside financial analysis, and Responsible Investment criteria are applied to provide better and sustainable outcomes for investors. Underweight and overweight stock positions relative to the Index will be taken to achieve carbon intensity and ESG profile improvements. The Fund will seek to achieve an improved ESG profile than the Index by focusing on superior corporate governance, lower social risk and higher social value and superior environmental risk-reward.

## ESG Characteristics

|                            | Yes | No |
|----------------------------|-----|----|
| ESG Integration            | ✓   |    |
| Sustainable Fund Objective |     | ✓  |
| Additional Exclusions*     | ✓   |    |

\*RLAM has a controversial weapons exclusion across all investments

## Our Fund Restrictions

|                           |                             |
|---------------------------|-----------------------------|
| 🎬 Adult Entertainment     | 🌳 High Environmental Impact |
| 🍷 Alcohol                 | 👤 Human Rights Issues       |
| 🐾 Animal Welfare          | ☢ Nuclear Power             |
| 🛡 Armaments               | ☢ Nuclear Weapons           |
| ☢ Controversial Weapons ✓ | 🚬 Tobacco                   |
| 🛢 Fossil Fuels            |                             |
| 🎰 Gambling                |                             |

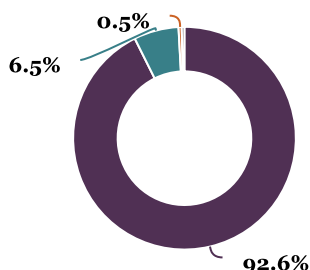
## ESG Metrics\*

|                                            | Portfolio  | Benchmark | Difference |
|--------------------------------------------|------------|-----------|------------|
| <b>Carbon Footprint</b>                    | 60.7       | 67.6      | -10.2%     |
| Carbon Footprint Coverage                  | 95.9%      | 95.8%     | -          |
| <b>Financed Emissions</b>                  | 458,665.87 | -         | -          |
| Financed Emissions Coverage                | 95.9%      | -         | -          |
| <b>Weighted Average Carbon Intensity</b>   | 75.7       | 86.4      | -12.4%     |
| Weighted Average Carbon Intensity Coverage | 94.6%      | 94.6%     | -          |

\*data as at 31/12/2023

## Fund Stewardship Activity\*

### Proxy Voting Activity



- Vote For
- Vote Against
- Vote Abstain
- Vote Take No Action

### Engagement Topics



- Climate - Transition Risk
- Remuneration
- Corporate Governance
- Others

\*Data as at 31st December 2023 for the calendar year 2023. Data includes activity led by the Investment Manager and Responsible Investment teams.

## CONTACT DETAILS

### Private Investors

For enquiries and dealing: Tel: 03456 04 04 04\*

### Intermediaries

For enquiries: Tel: 0203 272 5950\*  
Email: BDSupport@rlam.co.uk

### Institutional Investors

For enquiries: Tel: 020 7506 6500\*  
Email: Institutional@rlam.co.uk

### Head Office

Royal London Asset Management Limited  
80 Fenchurch Street  
London, EC3M 4BY  
Tel: 020 7506 6500\*  
Telephone calls may be recorded. For further information please see the privacy policy at <http://www.rlam.com>.

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## Key Concepts to Understand

**Capital Growth:** Capital growth is defined as the rise in an investment's value over time.

**Market Capitalisation:** Market capitalisation is the number of a company's shares multiplied by their value.

**Efficient Portfolio Management:** A list of approved investment techniques, including the use of derivatives, used to protect against excessive risk, reduce cost or generate extra income or growth.

## Fund Risks

**Investment Risk:** The value of investments and any income from them may go down as well as up and is not guaranteed. Investors may not get back the amount invested.

**EPM Techniques:** The Fund may engage in EPM techniques including holdings of derivative instruments. Whilst intended to reduce risk, the use of these instruments may expose the Fund to increased price volatility.

**Liquidity Risk:** In difficult market conditions the value of certain fund investments may be difficult to value and harder to sell, or sell at a fair price, resulting in unpredictable falls in the value of your holding.

**Counterparty Risk:** The insolvency of any institutions providing services such as safekeeping of assets or acting as counterparty to derivatives or other instruments, may expose the Fund to financial loss.

## Fund Restrictions Definitions

**Adult Entertainment:** Companies which own or produce adult entertainment services, or engage in the distribution or sale of adult entertainment services.

**Alcohol:** Companies which have involvement in brewing, distillation or sale of alcoholic drinks.

**Animal Welfare:** Companies that conduct animal testing (other than for purposes of human or animal health and/or where it is required by law or regulation).

**Armaments:** Companies who manufacture armaments or nuclear weapons or associated products.

**Controversial Weapons:** Weapons which have an indiscriminate and disproportional impact on civilians or weapons that are illegal and prohibited by international conventions and treaties.

**Fossil Fuels:** Companies involved in the exploration, extraction or refining of oil, or gas, or coal, plus any activity relating to thermal coal.

**Gambling:** Companies who promote irresponsible gambling which includes betting shops, casinos or amusement arcades.

**High Environmental Impact:** Companies which have a high environmental impact, and which have 'no evidence' of appropriate environmental management systems.

**Human Rights Risks:** Companies with a strategic presence operating in countries of concern and which have 'no evidence' of policies or systems to manage human rights risks.

**Nuclear Power:** Companies who generate energy from Nuclear Power.

**Nuclear Weapons:** Companies that manufacture, nuclear; or are involved in the production of intended-use parts, whole weapons systems, or exclusive delivery platforms.

**Tobacco:** Companies which are growing, processing or selling tobacco products.